

◆STRATEGY GUIDE 07 / 20 · CONTINUATION PATTERN

Bull Flag & Bear Flag

A sharp move, a brief pause, then the same move again. The flag is the market catching its breath — not changing its mind.



PATTERN TYPE	DIRECTIONAL BIAS	TYPICAL READ	TIMEWORKS BEST ON
Continuation	Same as the pole	8 min	Momentum-driven moves

01 What It Is

A flag is a brief, shallow, counter-trend consolidation that follows a sharp directional move. The sharp move itself is the **pole**; the pause that follows, usually sloping gently against the pole's direction, is the **flag**. Typically, the pattern resolves with a continuation in the pole's original direction — hence the name: the flag flying at half-mast before the move resumes.

The two directional forms are mirror images of each other. A **bull flag** follows a sharp rally and consolidates in a slight downward drift before continuing higher. A **bear flag** follows a sharp decline and consolidates in a slight upward drift before continuing lower. Both are read the same way — only the direction of the pole and the expected continuation flip.

02 Why It Works

The pause is thought to represent short-term profit-taking or hesitation rather than a genuine reversal. The move that preceded it was forceful enough — a sharp, high-volume pole — to suggest the underlying trend still has force left; a healthy market simply needs a moment to digest the move before continuing.

This is also why the flag's shape matters so much. A flag that stays narrow and shallow suggests the pause really is just profit-taking — participants locking in gains without any broader change of opinion about direction. A pause that widens or deepens substantially starts to look more like genuine distribution (in an uptrend) or accumulation (in a downtrend) — the earlier signs of an actual reversal rather than a pause within a continuing trend.

03 Anatomy Of The Flag

- **The pole.** A sharp, usually high-volume move that establishes the trend the flag will eventually continue. The steeper and more decisive the pole, the more conviction is implied behind it.
- **The flag.** A narrow channel sloping gently against the pole's direction. Both boundaries of the channel should be roughly parallel — a flag that widens instead of tightening is a warning sign, not a flag.
- **Volume during the flag.** Ideally contracts relative to the pole, another signal that the pause reflects reduced participation rather than a fresh directional battle.
- **The breakout.** A break of the flag's own trendline, in the direction of the original move, ideally accompanied by volume picking back up.

04 Two Variations



05 How To Trade It

STEP	DETAIL
Confirm	The flag slopes against the prior move and stays fairly narrow — a flag as large as the pole is a warning sign, not a flag
Entry	On a break of the flag's own trendline, in the direction of the original move
Target	The height of the pole, projected from the breakout point
Stop	Kept inside the flag, since a valid flag should not retrace deeply

Timing the entry: enter near the trendline break itself rather than after the move has already extended — chasing a flag breakout that's run away reduces the reward-to-risk of the trade substantially, since the target is anchored to the pole's height regardless of your entry price.

06 Common Mistakes

- Treating any pause after a move as a flag — most sideways action is not a flag, it's just noise.
- Holding through a flag that keeps widening or deepening instead of staying tight.
- Chasing the breakout well after it has already extended, rather than near the trendline.
- Ignoring volume contraction during the flag — a flag with rising volume looks more like a genuine contest for direction than a pause.

Bull Flag & Bear Flag — Cheat Sheet

POLE

Sharp, high-volume directional move

FLAG

Narrow, opposite-sloping pause with contracting volume

TRIGGER

Break of the flag's own trendline

TARGET

Pole height projected from the break

STOP

Inside the flag — a valid flag shouldn't retrace deeply

WARNING SIGN

A flag that widens instead of tightening